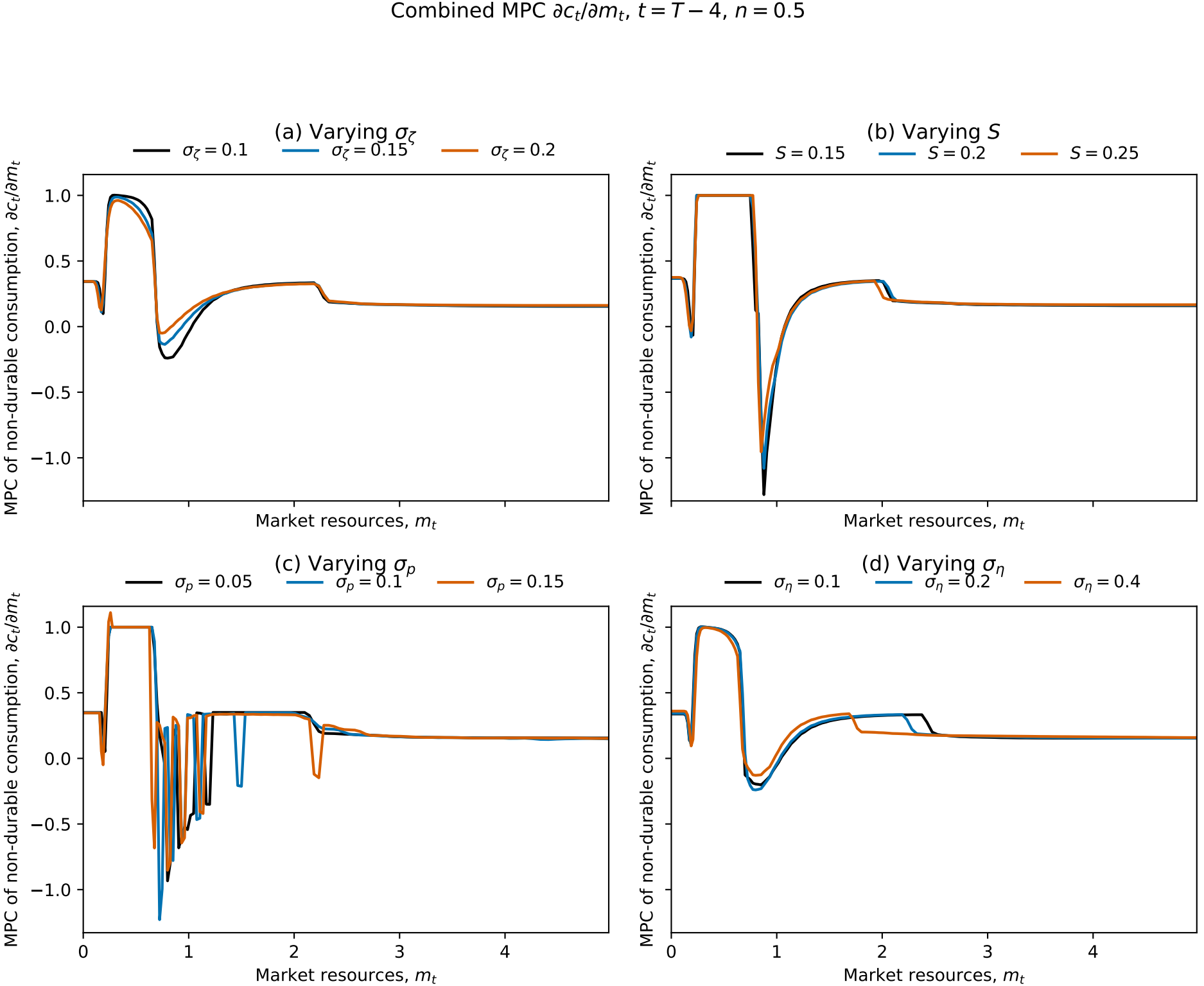
Combined MPC $\partial c_t/\partial m_t$, $t = T - 4$, $n = 0.5$
(a) Varying σ_ζ
$\sigma_\zeta = 0.1$
$\sigma_\zeta = 0.15$
$\sigma_\zeta = 0.2$
(b) Varying S
$S = 0.15$
$S = 0.2$
$S = 0.25$
(c) Varying σ_p
$\sigma_p = 0.05$
$\sigma_p = 0.1$
$\sigma_p = 0.15$
(d) Varying σ_η
$\sigma_\eta = 0.1$
$\sigma_\eta = 0.2$
$\sigma_\eta = 0.4$
MPC of non-durable consumption, $\partial c_t/\partial m_t$
Market resources, m_t
1.0
0.5
0.0
−0.5
−1.0
0
1
2
3
4